

Retail Store Sales & Customer Behaviour Analysis Business Insights

Teyzix Core - Data Analytics Internship - Task DA-2

Dataset: 1,700 retail transactions • 580 customers • 6 categories

Overview

This document presents the key business insights drawn from an analysis of 1,700 retail transactions across six product categories, ten cities, and 580 customers. Each insight is supported by figures from the cleaned dataset and explained in terms of its business meaning. All monetary values are in Pakistani Rupees (Rs).

The central finding: the business is driven by a small number of high-value Electronics transactions and an exceptionally loyal customer base, with revenue concentrated heavily in the final quarter of the year.

1. Best-Performing Products

The Bluetooth Speaker is the single best-performing product, generating Rs10.09 million in revenue. The top five products are all Electronics items:

Product	Revenue (Rs)
Bluetooth Speaker	10,093,719
USB-C Cable	6,822,766
Power Bank	6,632,243
Laptop	6,413,626
Smartphone	6,011,174

Explanation: these products lead on value, not volume. Electronics produced 74.4% of total revenue from only 16.9% of orders, with an average Electronics order of Rs178,523 — over 45 times the Rs3,908 average grocery order. The business is therefore powered by a relatively small number of high-ticket purchases.

2. Underperforming Categories

Groceries is the clear underperformer, contributing just 1.6% of revenue (Rs1.13 million) despite accounting for 17% of all orders. Beauty (3.3%) and Clothing (4.4%) also under-contribute relative to their order share.

Category	Revenue Share	Order Share	Avg Order (Rs)
Electronics	74.4%	16.9%	178,523
Sports	8.8%	17.0%	21,101
Home & Kitchen	7.4%	16.9%	17,866
Clothing	4.4%	14.4%	12,492
Beauty	3.3%	17.8%	7,629
Groceries	1.6%	17.0%	3,908

Explanation: these are not failing categories — they are low-value, high-frequency staples. Groceries has one of the highest order counts but the lowest unit prices, so it drives customer visits without driving revenue. The appropriate response is not to drop these categories, but to use their frequent purchases as an opportunity to cross-sell higher-value items.

3. Seasonal Trends

Revenue rises steadily through the year and peaks sharply in the fourth quarter:

Quarter	Revenue (Rs)
Q1 (Jan–Mar)	12,825,074
Q2 (Apr–Jun)	16,442,220
Q3 (Jul–Sep)	17,452,706
Q4 (Oct–Dec)	22,419,894

Explanation: Q4 revenue is 75% higher than Q1. Month-by-month, demand climbs from a February low (Rs2.77M) to a December peak (Rs7.85M) — a classic year-end holiday shopping pattern. Saturday is also the strongest day of the week. Inventory, staffing, and marketing should be concentrated in the October–December window and on weekends.

4. Customer Behaviour Patterns

The customer base is loyal and highly concentrated. Of 580 customers, 461 (79%) are repeat buyers, each placing an average of 2.93 orders.

Most significantly, repeat customers generate 92% of all revenue. The business runs almost entirely on returning customers rather than one-time buyers. This makes retention far more valuable than acquisition: losing an established customer is disproportionately costly, since the existing base accounts for nearly all income.

5. Revenue Opportunities

- **Reduce Electronics dependency:** 74% of revenue from one category is a structural risk. Building up secondary categories would protect the business if Electronics demand softens.
- **Cross-sell against frequent categories:** Groceries and Beauty bring customers in often. Attaching mid-priced items to these frequent visits could lift otherwise low-value baskets.
- **Invest in retention:** with 92% of revenue from repeat customers, even a small improvement in repeat rate compounds heavily — a higher-return lever than new-customer acquisition.

6. Business Recommendations

1. **Capitalise on Q4 seasonality.** Concentrate inventory, staffing, and promotions in October–December, and run targeted campaigns to lift the weak Q1.
2. **Protect Electronics while diversifying.** Keep Electronics as the profit centre but grow Sports and Home & Kitchen as secondary pillars to reduce concentration risk.
3. **Launch a loyalty programme.** With repeat customers driving 92% of revenue, rewarding and retaining the existing base is the single highest-return action available.
4. **Cross-sell on high-frequency trips.** Use frequent Grocery and Beauty purchases to attach higher-value items and raise the average basket.

5. **Reinforce the weekend peak.** Saturday is the top sales day; align promotions and staffing to strengthen it further.